

VENTURA COUNTY, CA · 34°16′N 119°14′W

California Fractional HR

COMPLIANCE-FIRST · STATEWIDE

The Compliance Audit — *Overview*

Senior, compliance-first HR leadership for companies of 20 to 100 employees — the judgment of a Chief HR Officer, without the full-time hire.

California Fractional HR provides HR & compliance advisory services. Not a law firm; no legal advice; not a guarantee of compliance.

© 2026

SHRM-SCP · EXPERIENCED · VETERAN-OWNED · VENTURA · SANTA BARBARA · STATEWIDE CA

calfractionalhr.com →

THE COMPLIANCE AUDIT — OVERVIEW

Contents

A fixed-fee California compliance audit — the offer, the law behind it, the scope, and where it sits on the course. Four pages, in order.

01 **The Compliance Audit** — The offer, why timing matters under PAGA, and what the audit delivers. 3

02 **PAGA, in Plain English** — What the law is, and why the penalties multiply so fast. 4

03 **Scope & Remediation** — What we review, what you receive, and two ways to close the findings. 5

04 **The Foundation** — Where the audit sits among the four cards — and what you're buying. 6

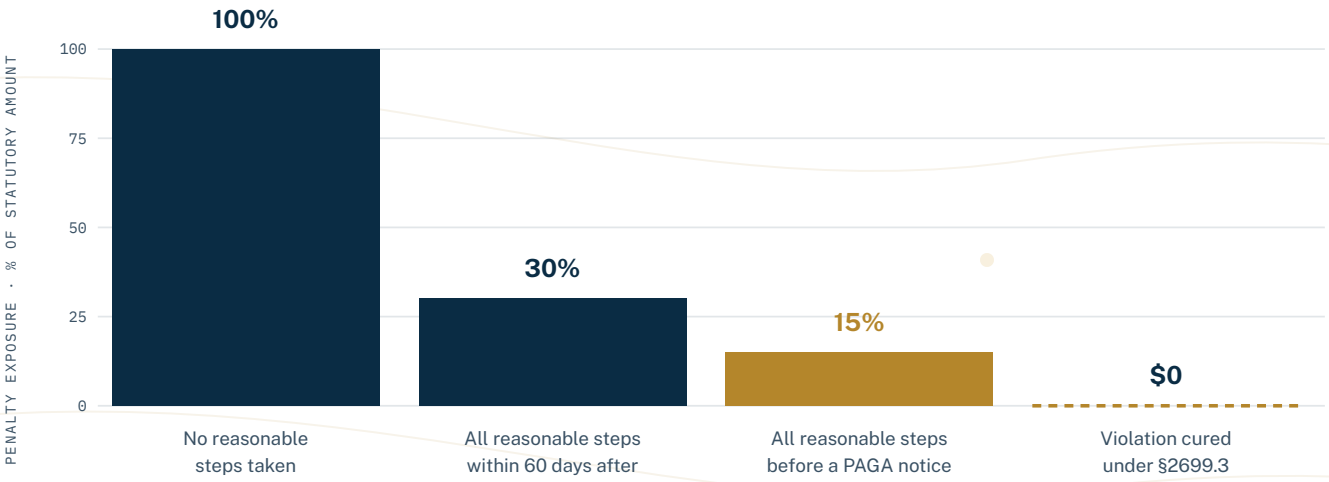
California Fractional HR provides HR & compliance advisory services. Not a law firm; no legal advice; not a guarantee of compliance. © 2026

See where you stand— *before a notice does.*

A fixed-fee audit maps your California exposure and traces every gap to the law. You leave with a clear picture, a ranked plan, and the first entries in your Reasonable Steps File.

PAGA 2024 REFORM · AB 2288 / SB 92

What reasonable steps — and a cure — do to your PAGA exposure



Caps apply where a court finds "all reasonable steps" were taken, evaluated on the totality of circumstances; percentages are of penalties sought. Once a cure is completed under Lab. Code §2699.3 — violation corrected, wages owed paid with 7% interest — the employee may not proceed with a PAGA action on it. The audit builds the documented file — it does not guarantee an outcome.

The Compliance Audit

from $4,500 fixed fee

Base fee covers up to 100 California employees, one worksite, one legal entity. Runs two weeks from Clock Start — the first business day after payment is in and every requested file is verified.

VENTURA · SANTA BARBARA · STATEWIDE VIRTUAL

WHAT IT DELIVERS

- → The Compliance Audit Report, with the Exposure Map
- → The first entries in your Reasonable Steps File
- → The Compliance Calendar, set to your own thresholds
- → The 90-Day Roadmap
- → The Audit Workspace
- → The Findings readout

Book your audit. *We'll reply the same business day — usually within the hour.*

connect@calfractionalhr.com

calfractionalhr.com/book →

California Fractional HR provides HR & compliance advisory services. Not a law firm; no legal advice; not a guarantee of compliance. Figures current as of 2026.

© 2026

SHRM-SCP · EXPERIENCED · VETERAN-OWNED

PAGA, in *plain English.*

The California law that can turn a small payroll mistake into a company-sized bill — and why every California employer should understand it.

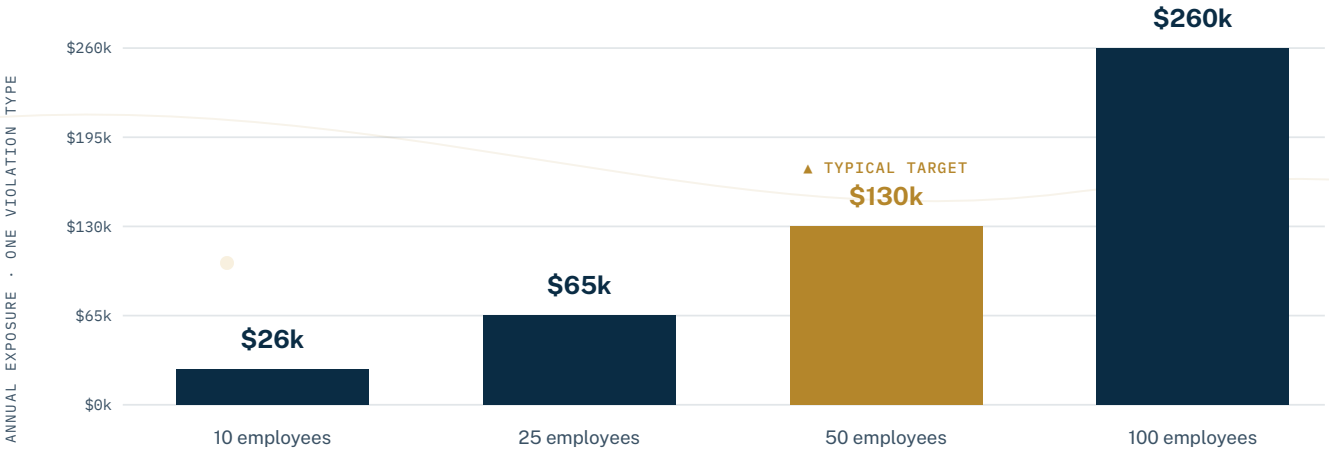
WHAT IT IS

PAGA — the Private Attorneys General Act of 2004 — lets a single employee hit by a labor code violation sue on behalf of themselves, every other current or former employee hit by the same violation, and the State of California. One worker is effectively deputized to enforce the law for everyone hit the same way.

Two features make it bite. There is no class action to certify — a far lower bar than a normal employee lawsuit. And the bulk of any recovery goes to the State, not the workers, with the plaintiff's attorneys driving the case.

WHY THE NUMBERS EXPLODE

Penalties are charged *per employee, per pay period.* A $100 slip, multiplied:



Illustrative: $100 per employee, per pay period, paid bi-weekly (26 periods), for a single type of violation. Real cases often stack several violation types at once — multiplying the figures above.

THE GOOD NEWS

← SEE PAGE 3

Timing matters.

All reasonable steps taken before a PAGA notice can cap penalties at 15%; within 60 days after, at 30%. The compliance audit on page three opens your Reasonable Steps File.

California Fractional HR provides HR & compliance advisory services. Not a law firm; no legal advice; not a guarantee of compliance. Figures illustrative; current as of 2026. © 2026

THE FINISHED PRODUCT

What we review — and what you *walk away with.*

A structured review across the areas where California penalizes small employers — delivered as a dated, documented file, not a slide deck.

WHAT WE REVIEW

01
Wage & Hour
Overtime, meal & rest breaks, timekeeping, final pay.

02
Pay Transparency
SB 1162 pay-scale postings, ranges & records.

03
Workplace Violence
SB 553 plan, annual training, incident log.

04
Classification
Exempt status & independent-contractor tests.

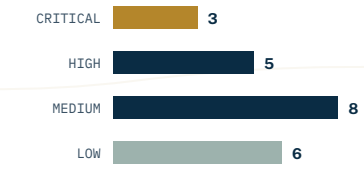
05
Leaves & Accommodation
Paid sick leave, CFRA, reasonable accommodation.

06
Policy & Handbook
Required policies, acknowledgments, recordkeeping.

WHAT YOU RECEIVE

- **Compliance Audit Report** — Findings ranked by severity — rule → gap → exposure → corrective practice — with the Exposure Map.
- **Reasonable Steps File** — The first entries — the dated record of what was requested, verified, found, and recommended.
- **Compliance Calendar** — Set to your own thresholds, headcount triggers, and dates.
- **90-Day Roadmap** — Corrective priorities, sequenced, with owners.
- **Audit Workspace** — The intake, the document record, and the Audit Dashboard.
- **Findings Readout** — A working session of up to 60 minutes with your leadership, finding by finding.

THE EXPOSURE MAP
ILLUSTRATIVE SAMPLE



CLOSING THE FINDINGS — TWO WAYS

Every finding comes with a fix. Run it yourself, or we execute it with you.

OPTION A

Close it in-house

You get a prioritized, plain-English remediation plan mapped to owners and dates. Your team executes.

BEST WITH CAPABLE IN-HOUSE HR / OPS

OPTION B · CLOSING THE AUDIT

We close it with you

We work down every finding from the audit and close it — required plans, pay transparency, your handbook and more — before any becomes a demand letter.

CHRO RETAINER · FROM $3,500/MO · 20 HRS/MO

CHRO describes the service level, not a position; no CFHR personnel holds any client title, officer role, or employment authority.

→ *your Reasonable Steps File — opened, then completed.*

California Fractional HR provides HR & compliance advisory services. Not a law firm; no legal advice; not a guarantee of compliance. Sample figures are illustrative. © 2026

The ground everything else *stands on.*

Four cards, one course — get your bearings, correct your course, increase your speed, reach your destination. The thread through all four is your Reasonable Steps File: opened, completed, kept current, made buyer-ready.

CLEARING THE HAZARDS

01 ASSESS
Get your bearings
Opening the Audit · Opens your file

02 REPAIR
Correct your course
Closing the Audit · Completes your file

OPEN WATER

03 RUN
Increase your speed
Build Systems · Keeps your file current

04 ARRIVE
Reach your destination
Custom Projects · Makes your file buyer-ready

CARD 01 — ASSESS — IS THE COMPLIANCE AUDIT

WHAT YOU'RE ACTUALLY BUYING

Compliance isn't the ambitious part of HR. It's the part that lets the ambitious parts exist — the quiet confidence to hire, promote, discipline and grow without a filing waiting to happen.

- **You stop watching the mailbox.**
  The demand letter stops living rent-free in your head.
- **Your managers act with confidence.**
  Hard conversations happen on solid, documented ground.
- **You scale without compounding risk.**
  Each new hire adds capability, not exposure.

PUT THE WEIGHT DOWN

Buy back the peace of mind.

You didn't start the company to master California's Labor Code. The audit hands that weight to someone who has — one fixed fee, one documented file, one fewer thing keeping you up at night.

connect@calfractionalhr.com calfractionalhr.com/book →



California Fractional HR provides HR & compliance advisory services. Not a law firm; no legal advice; not a guarantee of compliance. Figures illustrative; current as of 2026. © 2026